

2.19

Medeo. Inc.
Cost of goods sold statement
For the year ended

(1) Raw or Direct Materials:	Amount(\$)	Amount(\$)
(+) Beginning inventory	10000	
(+) Purchase of materials	80000 90000	
(-) Ending inventory	10000 (17000)	
Cost of raw materials used		83000
(2) Direct labor:		60000
Prime cost (1+2)		143000
(3) Factory overhead:		
Depreciation, factory	42000	
Insurance, factory	5000	
Indirect labor	65000	
Utility factory	27000	
Maintenance factory	30000	
Supplies factory	4000	
		170000
Total manufacturing cost		313000
(+) Beginning inventory of work process (WIP)		7000
(-) Ending " " " " (WIP)		(30000)
Cost of goods manufactured		350000 290000
(+) Beginning inventory of finished goods		10000
Cost of goods available for sale		
(-) Ending inventory of finished goods		(40000)
Cost of goods sold		300000 260000

2.7

Eccles Company
Cost of goods sold statement
For the year ended

	Amount(\$)	Amount(\$)
(1) Raw or Direct Materials:		
(+) Inventory, Beginning	8000	
(+) Purchases	132000	
(-) Inventory, Ending	(10000)	
Cost of raw materials		130000
(2) Direct labor		90000
Prime cost (1+2)		220000
(3) Factory overhead:		
fact. Rent	80000	
Indirect labor	56300	
Utilities, factory	9000	
Maintenance, factory eqp	24000	
Supplies, factory	7000	
Dep, factory eqp	40000	
		210000
Total manufactured cost		430000
(+) WIP, Beginning		5000
(-) WIP, Ending		(20000)
Cost of goods manufactured		415000
(+) Finished goods, Beginning		70000
(-) Finished goods, Ending		(25000)
Cost of goods sold		<u>460000</u>

Ans. to the que. no 03

Menger Company

For the year ended 19A

Cost of goods sold statement

	\$	\$
1) Raw or direct materials		
Beginning inventory	196000	
(+) Purchase of materials	2400000	
(+) Transportation in	32000	
(-) Ending inventory	-176000	
Cost of raw/direct materials used		2452000
2) Direct Labour		3204000
Prime Cost (1+2)		5656000
3) Factory overhead		1885600
Total Manufacturing Cost		2451200
(+) Beginning inventory of work in process (WIP)		136800
(-) Ending inventory of work in process (WIP)		-129800
Cost of goods Manufactured		2458200
(+) Beginning inventory of finished goods		467400
Cost of goods available for use		2925600
(-) Ending inventory of finished goods		-620000
Cost of goods sold		2305600